

### *Availability Bias*

**Availability bias** is an information-processing bias in which people estimate the probability of an outcome or the importance of a phenomenon based on how easily information is recalled. Various sources of availability bias exist; the four most applicable to FMPs are retrievability, categorization, narrow range of experience, and resonance.

**Retrievability:** If an answer or idea comes to mind more quickly than another answer or idea, the first answer or idea will likely be chosen as correct even if it is not the reality.

**Categorization:** When solving problems, people gather information from what they perceive as relevant search sets. Different problems require different search sets, which are often based on familiar categorizations. If it is difficult to come up with a search set, because the object of the search is difficult to characterize, the estimated probability of an event may be biased.

**Narrow Range of Experience:** When making an estimate, a person may use only a narrow range of experience instead of considering multiple perspectives. For example, assuming a product or service that has launched successfully in one country will be globally successful.

**Resonance:** People are often biased by how closely a situation parallels their own personal situation.

### **EXAMPLE 8**

#### **Availability Bias**

A portfolio manager asks an analyst to research and present a list of companies that have “strong growth potential.” The manager suggests looking for companies that sell a product or service different from its competitors—but with a compelling value proposition for customers—and that have a small share of a large market.

The analyst is familiar with technology companies, software in particular, based on prior work experience. The analyst has also seen a lot of news articles covering various software companies that, he believes, fit the criteria. The analyst begins screening among technology companies that have high revenue growth rates for the last two quarters. Although the analyst is aware that other companies in other sectors probably fit the criteria as well, the criteria are qualitative and vague such that they cannot be easily translated as screening input.

The analyst’s behavior exhibits availability bias from by considering only technology companies in the search because he is familiar with them. The analyst should consult colleagues and/or external resources to widen his search to include all sectors and for help with creatively specifying screening criteria.

### **Consequences of Availability Bias**

As a result of availability bias, FMPs may do the following:

- Limit their investment opportunity set. This limitation may result because they use familiar classification schemes. They may restrict investments to stocks or bonds, securities of one country or one sector, and so on.
- Choose an investment, investment adviser, or mutual fund based on advertising or the quantity of news coverage. For instance, when asked to name potential mutual fund companies to invest with, many people will name only the funds that do extensive advertising. The choice of mutual fund should be based on a variety of factors that make it a good fit given the investor’s objectives and risk–return profile.

- Fail to diversify. This failure may occur because they make their choices based on a narrow range of experience. For example, an investor who works for a company in a particular industry may overweight investments in that industry.

### Detection of and Guidelines for Overcoming Availability Bias

To overcome availability bias, investors need to develop an appropriate investment policy strategy, carefully research and analyze investment decisions before making them, and focus on long-term historical data. Questions such as, “How did you decide which investments to consider? Did you choose investments based on your familiarity with the industry or country? Did you see them in an article or research report?” and “Did you choose your investments because you like the companies’ products?” can help identify issues of categorization, narrow range of experience, and resonance as sources of availability bias. Availability bias may cause FMPs to think that events that receive heavy media attention are more important than they actually are.

#### EXAMPLE 9

##### The following information relates to Questions 1–5

Luca Gerber recently became the chief investment officer for the Ludwigs Family Charity, a mid-size private foundation in Switzerland. Prior to assuming this role, Gerber was a well-known health care industry analyst. The Ludwigs’s family fortune is primarily the result of entrepreneurship. Gerhard Ludwigs founded ABC Innovations (ABC), a biotech company dedicated to small cell lung cancer research. The foundation’s portfolio is 15% invested in ABC.

Gerber initially feels that the 15% investment in ABC is high. Upon review, however, he decides it is appropriate based on the Ludwigs’s involvement and their past success with similar ventures. Gerber makes a mental note to closely monitor the investment in ABC because he is unfamiliar with small-cap start-up companies. The remaining 85% of the foundation’s portfolio is invested in equity of high-quality large-cap pharmaceutical companies. Gerber deems this allocation appropriate and is excited that he can continue to use his superior knowledge of the health care industry.

For the past two years, ABC has been dedicated to Project M, an effort directed at developing a drug to treat relapses in small cell lung cancer. Project M has delayed its Phase Two trials twice. Published results from Phase One trials have raised some concerns regarding the drug. In its last two quarterly investors’ conference calls, ABC’s CEO was very cautious in discussing expectations for Project M. ABC’s stock price decreased by more than 20% during the past six months. Gerber believes that the research setbacks are temporary because of ABC’s past success with projects. He expects that ABC will begin Phase Two within a year, and he also believes that once Project M goes into Phase Two, ABC’s stock price should reach a new 52-week high of CHF80.

Soon after deciding to hold the stock, Gerber reads an article by ABC’s chief scientist that details certain scientific results from Project M. As a conclusion, the article states: “Although we still have some major obstacles to overcome, the Project M team has seen positive signs that a treatment for small cell lung cancer is achievable.” Although Gerber has difficulty interpreting the scientific results, he feels reassured after reading the concluding statement.